Sirca Paints India Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Premium wood-coatings company that holds the exclusive Indian licence for Italy's Sirca brand, and also sells Unico, Oikos (luxury wall textures), Wembley (mass and mid-premium wood coatings, bought March 2025) and Welcome. About 70% of revenue comes from retail through dealers and studios, and 30% from furniture OEMs such as Godrej. Plants are at Nathupur; it is strongest in North India.

Number	Value	What it means
Market cap	Rs 2,331 cr	What the market values the whole company at (Screener).
FY26 revenue	Rs 492 cr	Sales for the year, up about a third on FY25's Rs 374 cr, helped by the Wembley acquisition.
Q2 FY27 revenue	Rs 160.2 cr	July to September 2026 sales, up 22.1% on last year and 23.2% on the June quarter.
Q2 FY27 EBITDA	Rs 29.2 cr, 18.2% margin	Operating profit up only 6.4%; margin down from 20.9% a year ago as crude-linked input costs rose.
Q2 FY27 profit after tax	Rs 20.3 cr	Up 12.3%, helped by a lower tax rate.
P/E	33.6x	The price is about 34 years of current earnings, near its 52-week low.

2. Concall coverage

Quarter	Date	Transcript read?
H2 FY24	May 2024	Yes (key passages)
H1 FY25	Nov 2024	Yes (key passages)
H2 FY25	May 2025	Yes (key passages)
H1 FY26	Nov 2025	Yes (key passages)
Q3 FY26	Jan 2026	Yes (key passages)
Q4 FY26	May 2026	Yes (key passages)
Q1 FY27	Jul 2026	Presentation only, no transcript
Q2 FY27	Nov 2026	Transcript not yet filed. Investor presentation (6 Nov 2026) read in full ★

Six transcripts across two and a half years (the company held calls half-yearly until 2026). The Q2 FY27 transcript is not out, so the latest read comes from that quarter's presentation.

Latest update highlights: Q2 FY27 investor presentation (6 Nov 2026)

- Revenue Rs 160.2 cr, up 22.1%; H1 up 18.3% to Rs 290.2 cr, which the company says is ahead of the broader paints industry. Growth came from the Wembley range now sold through Sirca's network, acrylic and PU systems, and steady OEM buying.
- EBITDA Rs 29.2 cr, up 6.4%, but margin fell 269 bps to 18.2% as Brent crude rose from about $70 to nearly $97 a barrel. Price increases were taken, with more benefit expected in H2.
- Wembley integration on track: its dedicated facility now runs production, and the range is being extended to dealers beyond North India.
- Localising acrylic and polyester systems (previously imported from Italy): formula transfers and commercial trials done; now scaling local production, with selected UV systems next.
- Tone: upbeat on demand and premiumisation, defensive on margin.

Business mix & capacity

Domestic vs export: Overwhelmingly domestic; small exports to Nepal, Bangladesh and Sri Lanka. Retail about 70% / OEM about 30% of revenue.

Capacity use: Not disclosed. Manufacturing units at Nathupur (including a dedicated Wembley facility, operational as guided around Q4 FY26).

3. Earning Trigger thesis

The trigger management keeps pointing to is widening the portfolio and reach: the Wembley mass-market range sold through Sirca's dealers nationwide, entry into South and West India, and making in India the products it used to import from Italy, which should lift gross margin. Sales growth is real, but a big part is acquired, and margin has slipped rather than risen.

Trigger	What management said	Evidence so far	Time horizon	Strength
Wembley acquisition and national rollout	Unlocks growth across India	Driving the 22% Q2 growth	FY27	Moderate: partly bought growth
Localising imported products	Production expected from Q1 FY27; margin benefit	Trials done, scaling now	FY27-FY28	Unproven
Long-term growth target	25-30% growth for FY27; Rs 1,000 cr by FY30	H1 FY27 up 18%	FY30	Weak: targets keep running ahead

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Finance cost fell 29%, but no debt-cut plan stated.
New business	Yes	Wembley mass/mid-premium range extended to Sirca's dealers beyond North India (Nov 2026).
Margin up	No	EBITDA margin fell to 18.2% from 20.9% (Nov 2026).
New management	No	None reported.
New capacity	Yes	Dedicated Wembley facility now runs production in one integrated setup (Nov 2026).
Big orders	No	Not an order-book business.
Turnaround	No	Profitable throughout.
Promoter buying	No	Not discussed.

The single concrete driver: The Wembley mass-market wood-coatings range, bought in March 2025, being sold through Sirca's dealers across India.

3c. Margin bridge

EBITDA margin is 18.2% now versus 20.9% a year ago. Crude-linked raw materials jumped and price rises only partly covered it; management expects more price benefit in H2 and later gains from local production (one-off if prices hold).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2024	FY25: at least 40% revenue growth, 22-23% EBITDA margin	FY25 growth 20%, EBITDA fell 2%; margin guide cut to 20-21% in Nov 2024	Missed
Nov 2024	Welcome brand about Rs 60 cr in FY25	Not confirmed in later calls	Dropped
Nov 2025	Wembley facility operational around Q4 FY26	Dedicated facility runs production (Nov 2026)	Delivered
Nov 2025 / Jan 2026	35-40% growth a year; sustainable 19-21% EBITDA margin	FY26 sales up about a third; FY26 margin about 20%	Delivered

Period	What was promised	What actually happened	Verdict
May 2026	Local acrylic/polyester production from Q1 FY27	Trials completed, scaling up in Q2 FY27	Partly
May 2026	FY27: 25-30% growth, 19-21% EBITDA margin	H1 growth 18%, Q2 margin 18.2%	Slipping

Narrative drift: The plan itself (premium Italian brand plus a wider range and national reach) has stayed steady, but the numbers management attaches to it move a lot: a 40% growth call cut to 20%, then 35-40%, now 25-30%, and margin guides lowered twice. The tone is consistently more optimistic than the results.

5. Bottom line

Durable earning trigger? → MAYBE

Wembley and the national rollout are a named driver showing in sales, but much of it is bought growth, and the margin gain from local production hasn't shown up while input costs are squeezing margins.

Management consistent? → MAYBE

FY26 and the Wembley plant were delivered, but FY25 guidance was missed badly, and H1 FY27 is running below both the growth and margin guidance given in May.

6. Checkpoints for next quarter

- EBITDA margin recovers to 19% or above
- H2 growth gets FY27 close to the 25-30% guide
- Local production of acrylic and polyester systems is running at scale

This is not investment advice. Do your own due diligence.